

Block, Inc. Fourth Quarter 2022 Earnings Call - Prepared Remarks

Nikhil Dixit, Head of Investor Relations

Hi, everyone. Thanks for joining our fourth quarter 2022 earnings call. We have Jack and Amrita with us today. We will begin this call with some short remarks before opening the call directly to your questions. During Q&A, we will take questions from our customers in addition to questions from conference call participants.

We would also like to remind everyone that we will be making forward-looking statements on this call. All statements other than statements of historical fact could be deemed to be forward-looking. These forward-looking statements include discussions of our long-term targets and goals, which are subject to risks and uncertainties, and we may decide to shift our priorities or move away from these targets and goals at any time. Actual results could differ materially from those contemplated by our forward-looking statements. Reported results should not be considered as an indication of future performance.

Please take a look at our filings with the SEC for a discussion of the factors that could cause our results to differ. Also, note that the forward-looking statements on this call are based on information available to us as of today's date. We disclaim any obligation to update any forward-looking statements, except as required by law.

During this call, we will provide preliminary estimates of gross profit growth performance for the months of January and February. These represent our current estimates for January and February performance as we have not yet finalized our financial statements for the months of January and February, and our monthly results are not subject to interim review by our auditors. As a result, actual January and February results may differ from these estimates. Moreover, this financial information has been prepared solely on the basis of currently available information by, and is the responsibility of, management. This preliminary financial information has not been reviewed or audited by our independent public accounting firm. This preliminary financial information is not a comprehensive statement of our financial results for January and February or the first quarter.

Also, we will discuss certain non-GAAP financial measures during this call. Reconciliations to the most directly comparable GAAP financial measures are provided in the Shareholder Letter and Investor Day materials on our Investor Relations website. These non-GAAP measures are not intended to be a substitute for our GAAP results.

Finally, this call in its entirety is being audio webcast on our Investor Relations website. An audio replay of this call and the transcript for Jack and Amrita's opening remarks will be available on our website shortly.

With that, I would like to turn it over to Jack.

Jack Dorsey, Block Head

Thank you all for joining us.

During our last earnings call we committed to sharing our investment framework. We'll spend the majority of our intro remarks on that instead of a review of our last quarter, which you'll find in our shareholder letter we sent out about an hour ago.

There are 3 principles guiding our investment framework:

1. Ensure our investments are focused on customer retention and growth.
2. Account for ongoing costs of the business, including stock based compensation.
3. Utilize industry standard conventions that are simple to communicate and to understand.

Using these principles, our investment framework can be articulated in a single sentence:

Block and each of our ecosystems must show a believable path to Gross Profit Retention of over 100% and Rule of 40 on Adjusted Operating Income.

This is an ambitious goal, especially at our scale, and one we aren't meeting today. We're sharing this today to provide full transparency into how we want to drive the business, and how we want to be held accountable. In the coming quarters we'll provide more details into our strategies and plans for how we're moving the company towards achieving this goal. I wanted to take a moment to share why we believe this is so important before Amrita dives into where we are today and what it means for operating our business.

Our ability to retain a customer over time tells us a lot. It says we've found product market fit, we have the right set of services and features, we're providing the right customer support, we're able to efficiently cross-sell into more products, and we have the right pricing. In the simplest terms, it means that our customers find value in our offerings and want to stick with us.

Historically, both Cash App and Square have delivered positive gross profit retention. We may not achieve this in every period due to macro shifts. For instance, we saw Square's retention dip in 2020 due to the pandemic, before recovering the next year. But over the long-term, we expect the average annual gross profit retention of our ecosystems to be above 100%.

To complement retention, we'll continue to measure customer cohort economics to assess each stage of the customer journey. We assess our efforts to efficiently attract new customers by looking at returns on investment, a factor of both growing customer lifetime value and appropriately aligning our customer acquisition cost. Together, the combination of efficient acquisition and retention leads to greater gross profit growth for our ecosystems.

Turning now to the second component of our investment framework, which is Rule of 40. We want to further raise the bar on our growth rates and our efficiency. We believe measuring our ecosystems on growth plus margins is the best framework to enable this.

A growth plus margin framework provides flexibility for products and businesses at different stages of maturity. It's a useful and universal formula for evaluating each of our ecosystems with different growth trends and margin profiles today, and for those we might launch in the future.

It also ensures accountability. When we increase our investments, this framework forces us to think critically about the expected returns. And if growth slows, it encourages us to adapt, to operate with more discipline or to pursue different investments. It pushes us to think creatively, using new technologies or distribution models to create efficiencies and do more with less.

Historically, we have looked at gross profit growth plus Adjusted EBITDA margins. In 2022, Block's gross profit growth plus Adjusted EBITDA margin was 52%, or 42% when excluding Afterpay, which provided a one-time benefit to growth last year.

While Adjusted EBITDA margin is one of the key profit disclosures we've focused on in the past, we recognize it excludes certain expenses like stock based compensation which is a real, meaningful ongoing cost of operating our business. It isn't a cash expense but it's a real expense, so we are going to include it in how we assess our investments and performance, and to do so, we are developing better signals around it.

As a result, we are shifting our focus to an Adjusted Operating Income margin. With this metric, profit margins will include certain non-cash expenses, like stock based compensation and depreciation and amortization.

With Rule of 40, we are targeting the sum of our gross profit growth and Adjusted Operating Income margins to be at or above 40% over the long-term. This target applies to Block at the overall company level, as well as each of our ecosystems. By comparison, for 2022, Block's gross profit growth plus Adjusted Operating Income margin was 33%, or 23% excluding Afterpay.

Finally, we wanted to be able to communicate this in a way that's easy to understand using methods that have been widely accepted by the investment community. Gross Profit Retention and the Rule of 40 target are both clear and balance each other in a way that aligns our customer interests with those of our investors.

They provide a clear way for us to determine what's working and what's not working as we seek to serve more and more customers around the world. We believe this investment framework will ultimately enhance our ecosystems around the world, and our ecosystem model by allowing each business to make holistic decisions around their teams and roadmaps in parallel. It ensures the decisions of one ecosystem won't constrain the others. This model will help us move quicker and be more dynamic with our investments to grow Block overall.

And this framework has already informed some decisions for us. As you may have seen in our 10-K, we're consolidating our corporate teams—People, Legal, and Finance—into one organization that Amrita will lead as our Chief Operating Officer. This will allow us to be far more focused and efficient as we work to achieve our goals. Amrita will continue to serve as our CFO as well.

And now over to Amrita, our COO.

Amrita Ahuja, Chief Operating Officer and Chief Financial Officer

Thanks Jack.

I'll start with how we're executing against our investment framework, before moving to our expectations for 2023 and recent trends.

Let's start with gross profit retention. We are a customer-led company and gross profit retention is an effective way to reflect this.

In 2022, Cash App and Square experienced positive gross profit retention compared to 2021, which is in-line with our long-term target that Jack outlined. We measure gross profit retention on a net basis -- factoring in gross profit growth from existing customers as they increase engagement or adopt more products, net of any churn from customers who leave our ecosystems. It's a similar definition to the net revenue retention metric many other companies use, but adapted to our main top-line metric, which is gross profit.

We look at retention alongside broader cohort economics to both assess the health of the customer base and our ability to efficiently acquire new customers. In 2022, we experienced strong returns on acquisition spend, which gives us confidence in our ability to invest for long-term profitable growth.

For Cash App, in 2022 we achieved an efficient cost of acquisition of \$10 or less on average as we grew to 51 million monthly transacting actives in December, adding our largest annual cohort of customers on a gross profit basis. Our historical Cash App cohorts through 2020 have achieved ROIs of 6x or greater over 3 years, while our most recent annual cohorts in 2021 and 2022 are at or pacing at an estimated payback of less than one year.

For Square, each of our annual cohorts onboarded through 2020 are at or pacing at an estimated ROI of 3x or greater over 4 years, with our 2021 and 2022 cohorts pacing at an estimated payback of 6 quarters or less. There were periods over the past year where expected paybacks on our 2022 Square cohorts stretched beyond our 6 quarter target, primarily because of increased spend in our international markets and experimental areas. We then pulled back on those areas, and are now seeing paybacks trend in-line again with our targets. In 2023, we're

focused on refining Square's go-to-market approach and strengthening our sales and marketing motion.

Taken together, we believe these fundamentals of positive retention, efficient acquisition, and strong returns on acquisition spend drive sustainable business models.

Moving to our long-term goal of Rule of 40.

We expect our path to achieving this 40% growth plus Adjusted Operating Income margin benchmark will be driven by a few key areas of opportunity.

From a growth perspective, we're just getting started -- we have less than 5% share of a nearly \$200 billion gross profit opportunity across our addressable markets, with much of the landscape sitting on legacy infrastructure. We'll continue to invest with discipline to unlock growth in each of our ecosystems.

For Square and Cash App, this includes launching new products for our customers, expanding into new customer segments, and refining our go-to-market approach across our global audiences.

For our emerging businesses, our principles are the same though at an earlier stage. We're constraining investment for these businesses to less than 3% of operating expenses in 2023 in aggregate, and will look for these ecosystems to show a path to achieving and sustaining Rule of 40.

From a margin perspective, key opportunities include finding greater efficiencies in share based compensation and our overhead expenses. We intend on slowing our pace of hiring across the company in 2023. Within our overhead expenses, we plan to drive leverage across our software and data consumption, real estate footprint, professional fees, and other discretionary areas.

Within our reporting disclosures, we want to bring more transparency to our performance against these targets and intend on introducing new disclosures around profitability on an Adjusted Operating Income basis and sharing more about segment-level profitability for Square and Cash App over time.

Our priority remains driving long-term, profitable growth at scale, and we believe this balance of compounding growth and margins will help us achieve this.

Now, let's shift gears to look at our plans for 2023.

Over the past several years, we've significantly grown our business and our expense base. We're focused on operating with efficiency in 2023 and expect to slow our pace of expense growth meaningfully compared to prior years. We expect to deliver approximately \$1.3 billion in Adjusted EBITDA in 2023, for growth of more than 30%, and at least 1 point of margin

expansion year over year. On an Adjusted Operating Income basis, we are targeting a loss of approximately \$150 million for 2023, and expect our Adjusted Operating Income margin to modestly improve year over year. This incorporates the run-rate of trends we have observed in our business up until earnings and our current estimates for performance through February.

In 2023, we expect Cash App to expand its margins on a year over year basis, while we expect Square's margins to be relatively consistent year over year.

While this is our base case entering the year, we recognize that we are in an uncertain macro environment. Amidst this uncertainty, we intend to hold to our stated profit targets for 2023. If growth slows, we'll exercise discipline and look for cost initiatives to pull back within our planned expense base.

As we shared on our last earnings call, we are moderating spend in our two biggest discretionary areas.

First, hiring. Headcount makes up the largest driver of our expense base. In 2023, we expect to increase our headcount by 10% compared to the prior year period, a significant change compared to 46% growth in 2022. However, given the pace of hiring last year, we expect overall personnel expenses to increase in the mid-20% range year over year, with greater leverage on headcount costs expected in the back half of 2023 and into 2024.

Second, sales and marketing. We expect overall sales and marketing growth to be 5 to 10% year over year in 2023, moderating compared to approximately 25% in the prior year period. Breaking this line item down, we expect variable Cash App expenses, including peer-to-peer costs and Cash App Card issuance costs, to grow faster, and the remaining portion of our sales and marketing expenses across the business to be relatively consistent with the prior year as we drive efficiency on acquisition spend. Consistent with our remarks last quarter, we'll continue investing in channels with more proven ROI and intend on pulling back in other go-to-market areas.

As we shared last quarter, about one-third of our overall non-GAAP operating expense base is made up of variable expenses, which have historically grown more in-line with overall gross profit -- these not only include peer-to-peer costs and Cash App Card issuance costs in sales and marketing, but also transaction and loan losses, and expenses related to data and our platform infrastructure.

Next, an update on recent trends and some highlights from the fourth quarter.

For the months of January and February, we estimate overall company gross profit growth to be approximately 33% year over year on a reported basis, and we expect growth for the full first quarter to be a few points below this. As a reminder, we are now lapping the acquisition of Afterpay, which closed on January 31, 2022, and as a result, our reported growth rate for January should be greater than that of February and March.

If we look at our performance on a combined company basis, which would include a \$51 million contribution from our BNPL platform to January 2022 results, we see stable to improving trends. In particular, we see an improvement in January and February gross profit growth compared to the fourth quarter of 2022. On a combined company basis, we estimate overall company gross profit growth in January and February of approximately 25% year over year, an improvement from 21% in the fourth quarter. And we expect the combined company growth rate of 25% in January and February to be relatively stable for the full first quarter.

We have continued to see the diversity of our ecosystem model provide resilience in this dynamic environment. Through January and February, Cash App saw continued strength with stable consumer trends. Square saw some moderation in growth rates for certain discretionary verticals, with greater stability in other verticals. Let's get into some of these trends by ecosystem. As a reminder, gross profit includes a 50% allocation from our BNPL platform across each of Square and Cash App.

For Cash App, we expect gross profit growth to be greater than 50% on a reported basis year over year for the months of January and February. In March, we expect gross profit growth to slow as we lap pricing changes made in the prior year period.

Cash App's early momentum this year has been a continuation of our strong fourth quarter. We continued to build out our banking offering by introducing Savings, which has been one of our fastest growing products on Cash App. Cash App Card achieved strong growth in monthly actives and spend per active and delivered more than \$750 million in gross profit for the year, up 56% year over year and making up more than a quarter of overall Cash App gross profit.

For Square, we expect gross profit growth to be approximately 15% on a reported basis year over year through January and February. Looking at recent volume trends, we saw a moderation in the GPV growth rates for discretionary verticals in the U.S. beginning in November, primarily for food & drink and retail, and we have seen these trends continue into the first quarter. Even with these shifts in macro trendlines, the Square ecosystem, excluding PPP and our BNPL platform, had a gross profit growth rate of 17% year over year in the fourth quarter, and is expected to grow 21% year over year in January and February. As a reminder, for the full first quarter of 2022, we recognized \$51 million of non-recurring PPP gross profit.

And lastly, an update on our BNPL platform, which was also embedded in the figures I just noted for Cash App and Square. Through the months of January and February, we expect GMV growth of 19% year over year, an improvement compared to 14% growth in the fourth quarter. We have been encouraged by our ability to manage loss rates, as losses on consumer receivables remained below 1% during the fourth quarter, and improved on both a year-over-year and quarter-over-quarter basis behind consistent repayment trends. In the first quarter, loss rates typically see a seasonal increase compared to other quarters, though are expected to remain around 1% for the first quarter.

To conclude, our potential is profound - across our significant addressable opportunity, the ability to grow with our existing customers, and the longer-term path to grow new ecosystems. With all this opportunity, we have found that constraints are clarifying and can help us execute responsibly and creatively.

With the components of our investment framework, we believe our teams will be able to continue driving product velocity while prioritizing agility, accountability and long-term thinking paired with near-term feedback loops. With that, we'll open it up to your questions.